Decred On-chain Analytics

An overview of what Hybrid PoW/PoS consensus looks like on-chain

By Checkmate

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Decred On-chain

The Decred chain has a very different ‘HODLer’ signature on-chain to that of Bitcoin.

For Bitcoin, high conviction HODLing shows up as a **single withdrawal transaction** followed a period of dormancy.

For Decred, the hybrid PoW/PoS consensus ticket system mean high conviction HODLing has coins moving

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Decred On-chain

On-chain Analysis is about dissecting the **Psychology and Behaviour** behind network transactions.

Example actions related to Decred:

Action	Psychology	Signals
Ticket Purchase	Strong Desire to Hold	**Bullish**
Increasing Tx Volume	Demand for Blockspace	**Bullish**
Price Below Subsidy Income	Network Income Stress	**Bearish**
Difficulty Squeeze	Miner Income Stress	**Bearish**

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Realised Price and MVRV Ratio

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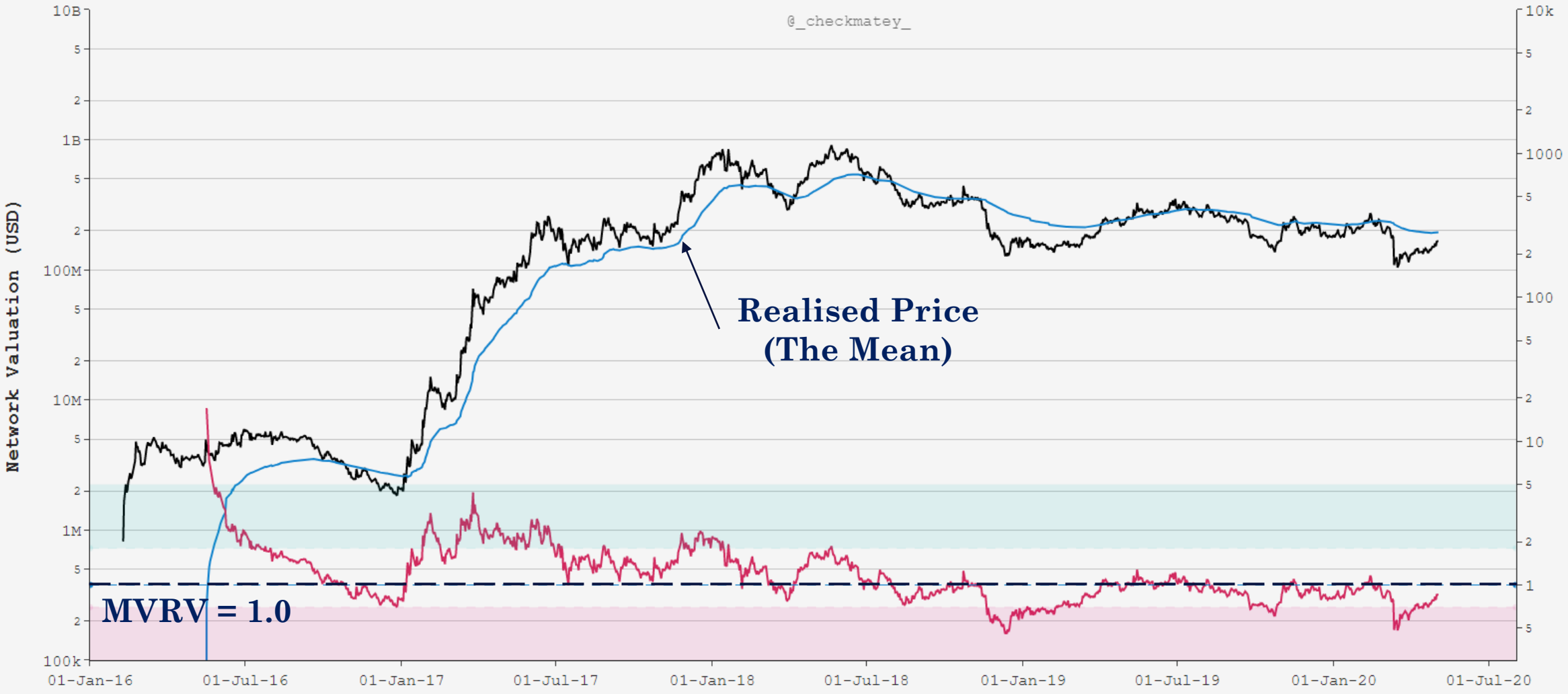
Decred MVRV Ratio Valuation



Psychology: Ticket Demand as a measure of Cost Basis, Support in Bull, Resistance in Bear

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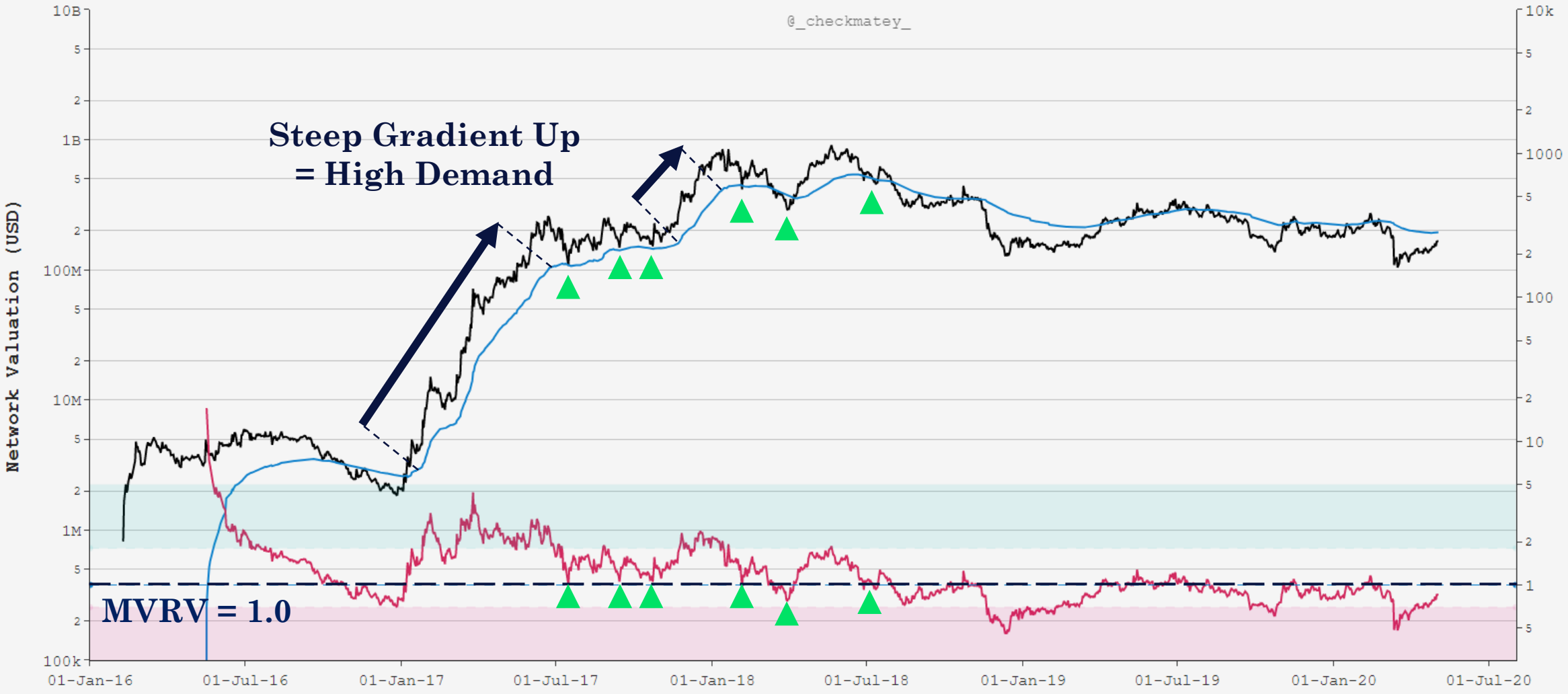

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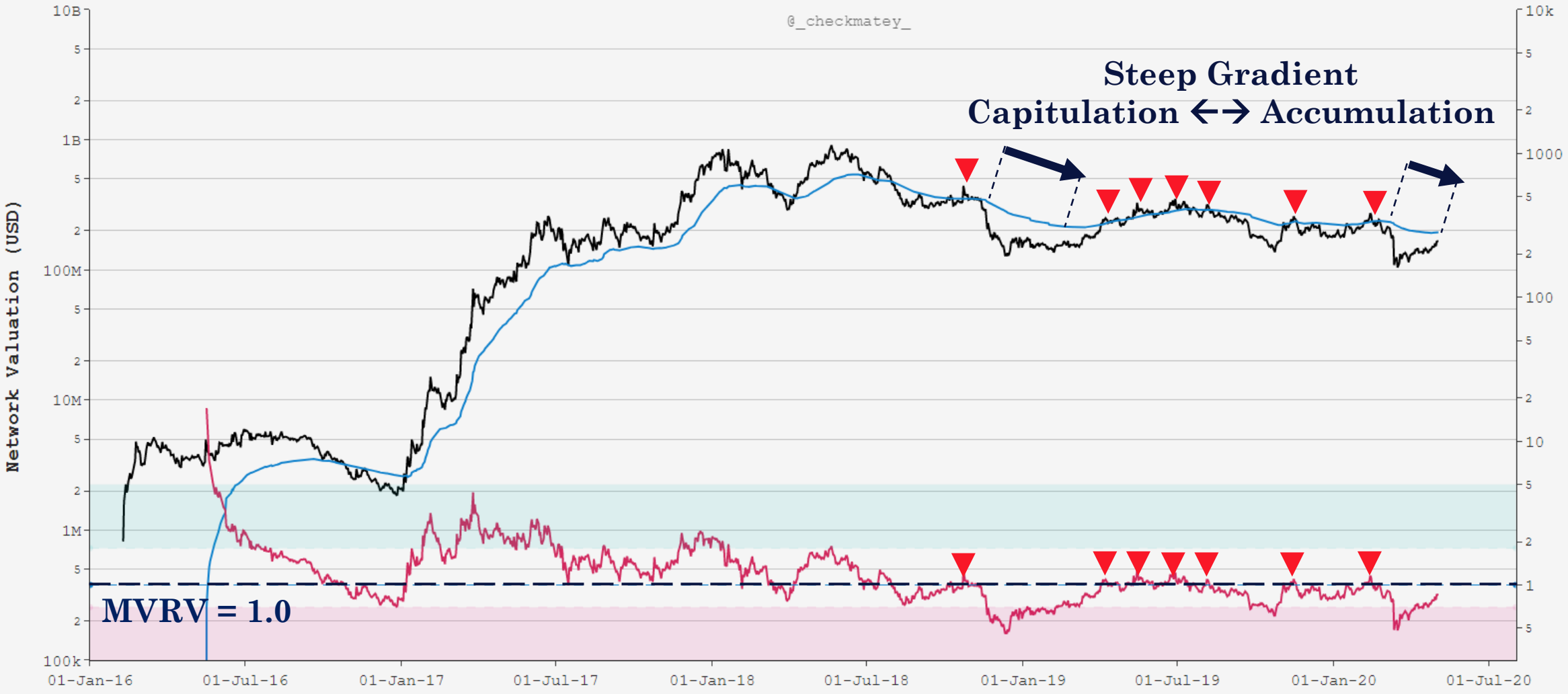

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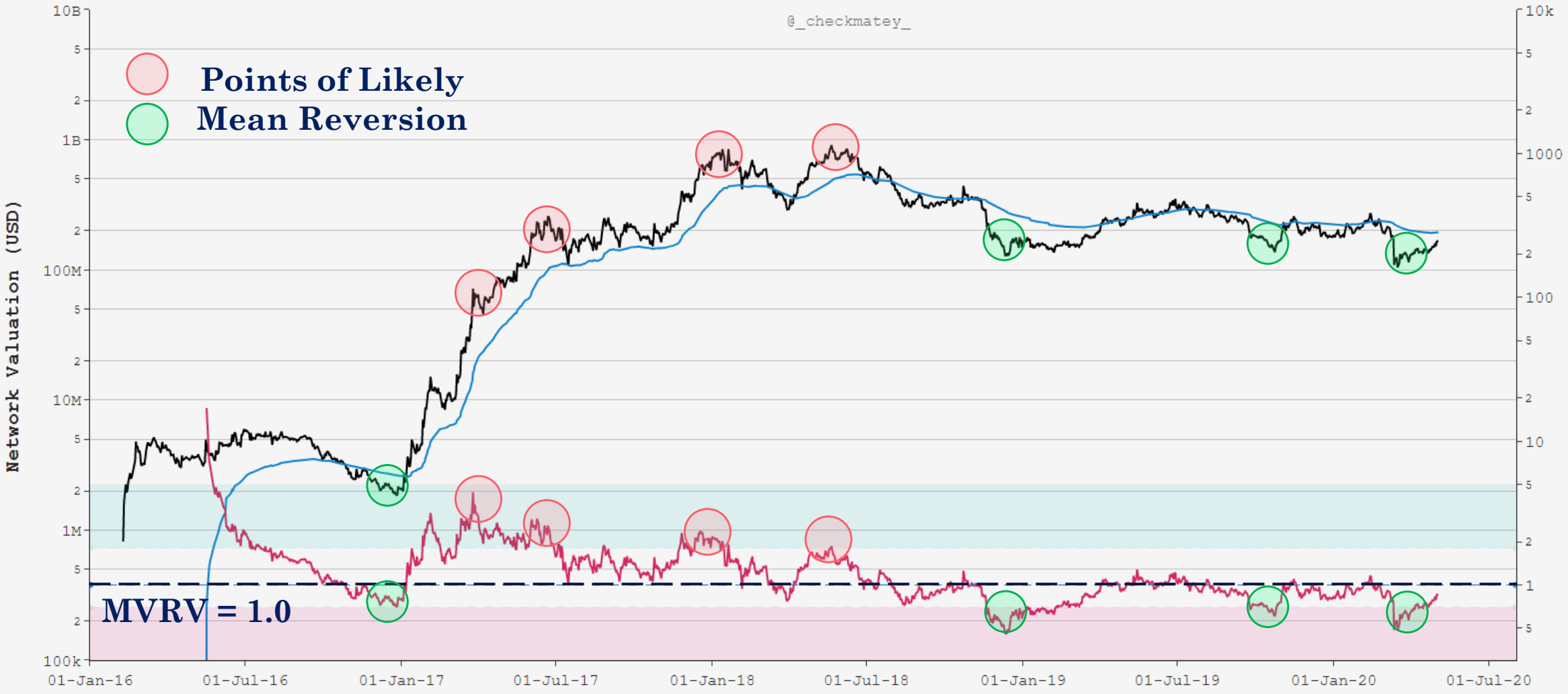

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142-Day Sum of USD Ticket Value

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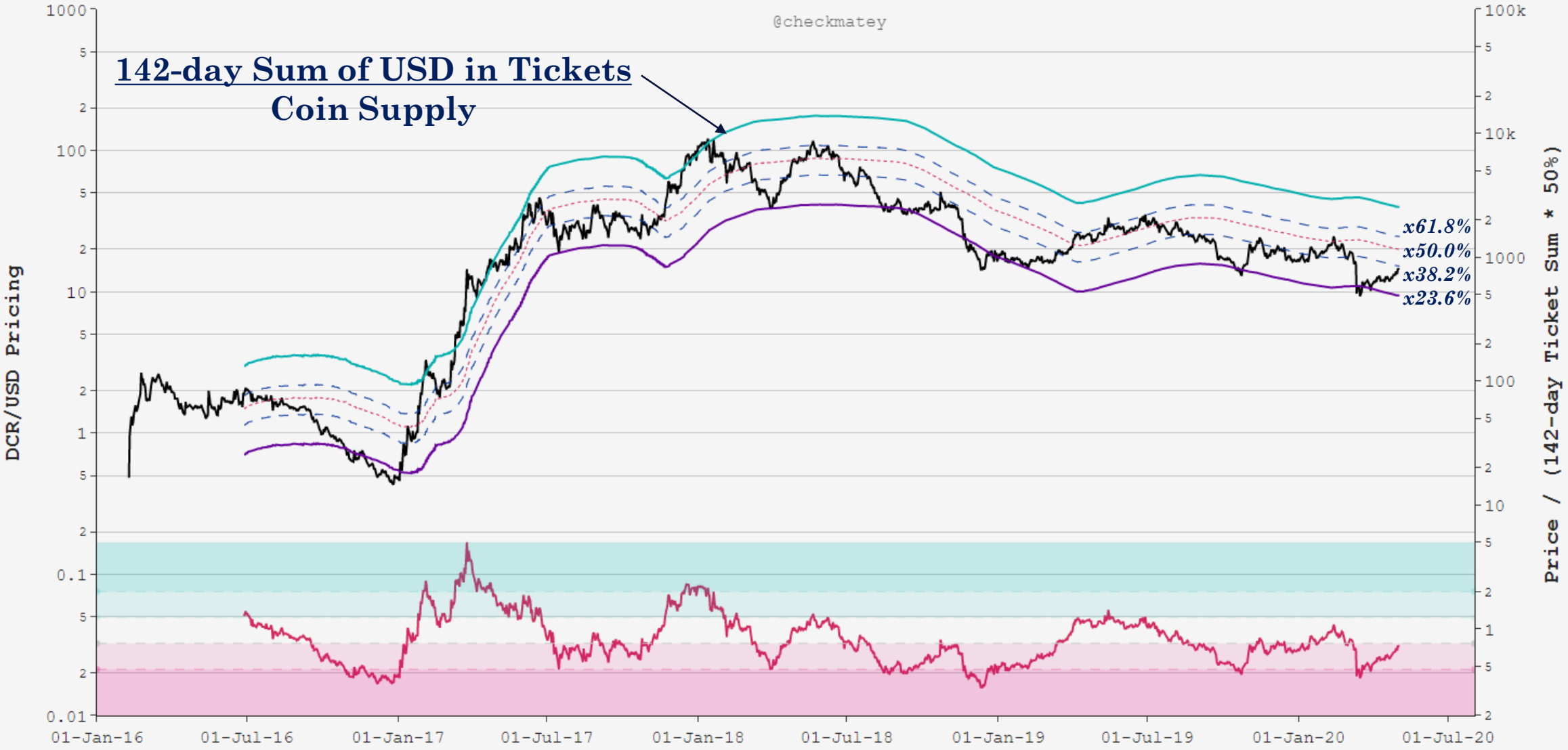
Decred 142-Day Ticket USD Sum



Psychology: Ticket purchase suggests strong belief (ceiling) on future price appreciation

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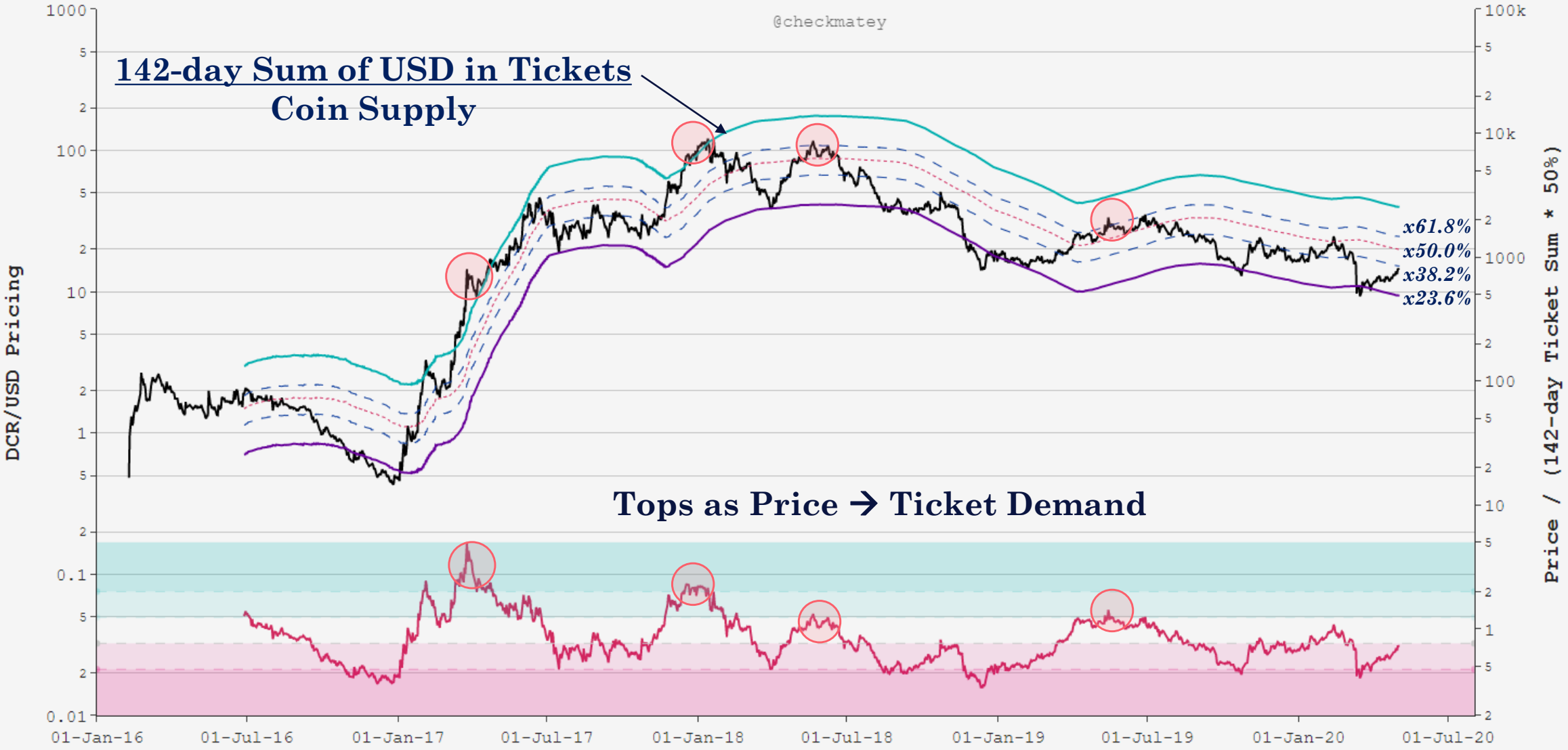
Decred 142-Day Ticket USD Sum



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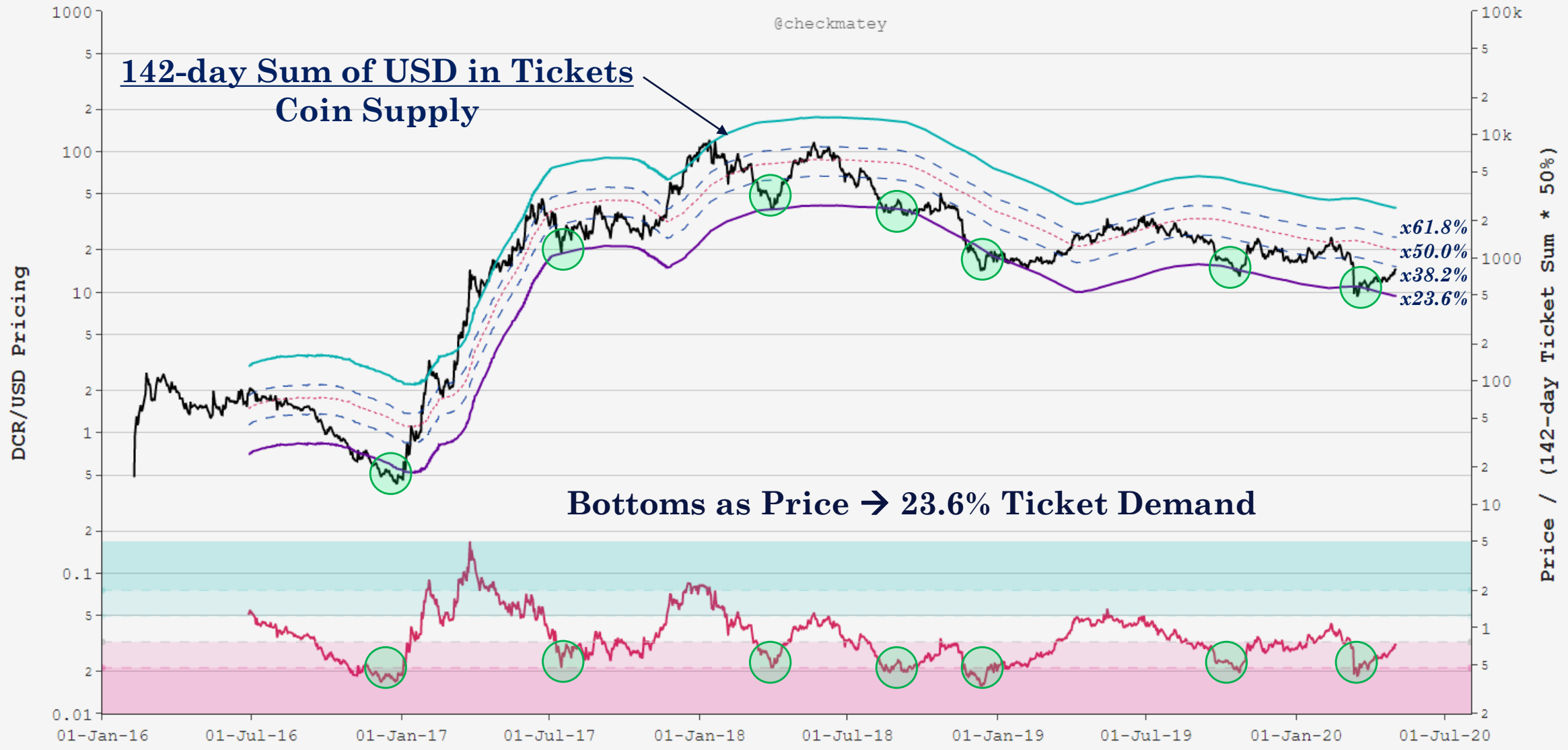

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Block Subsidy Models

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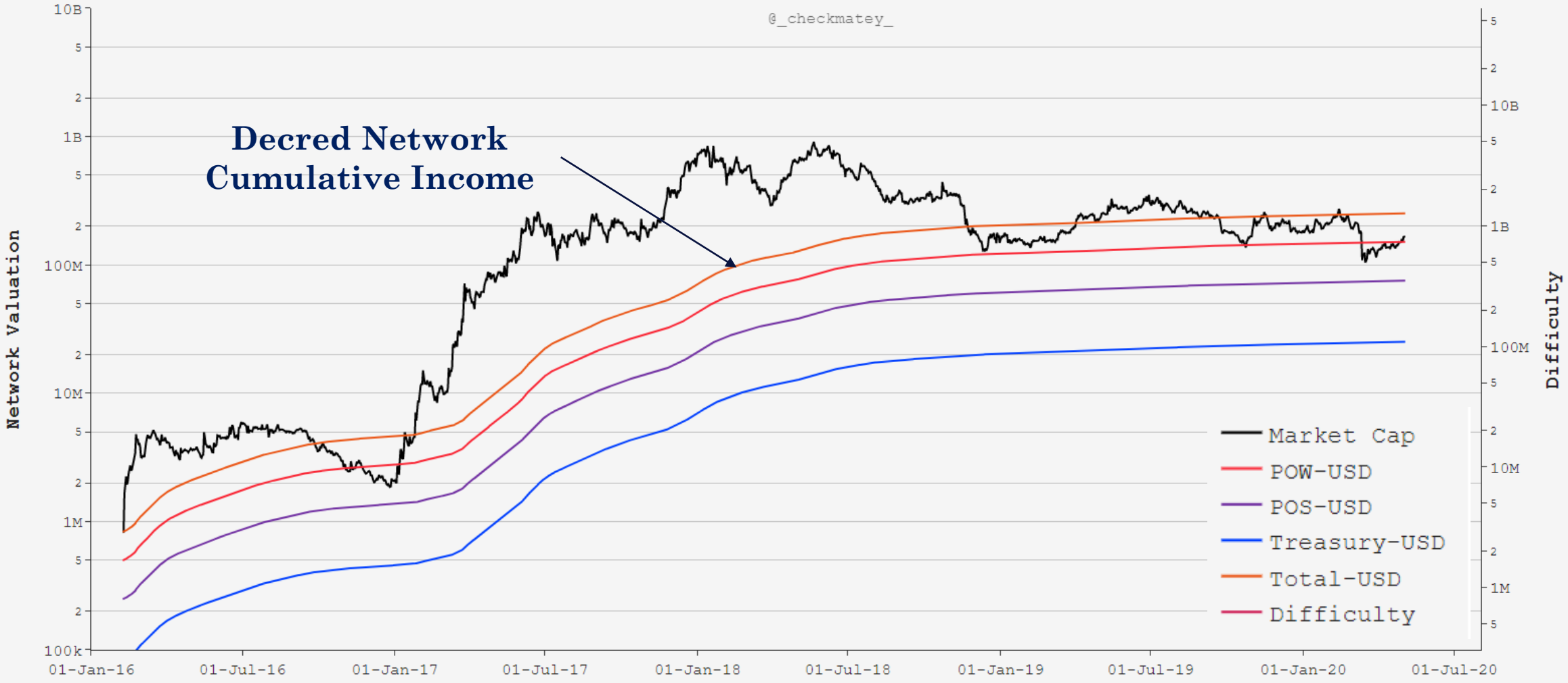
Decred Block Subsidy Valuation Models (USD)



Psychology: Aggregate network 'cash-flow' represents an incentive cost-basis for each party

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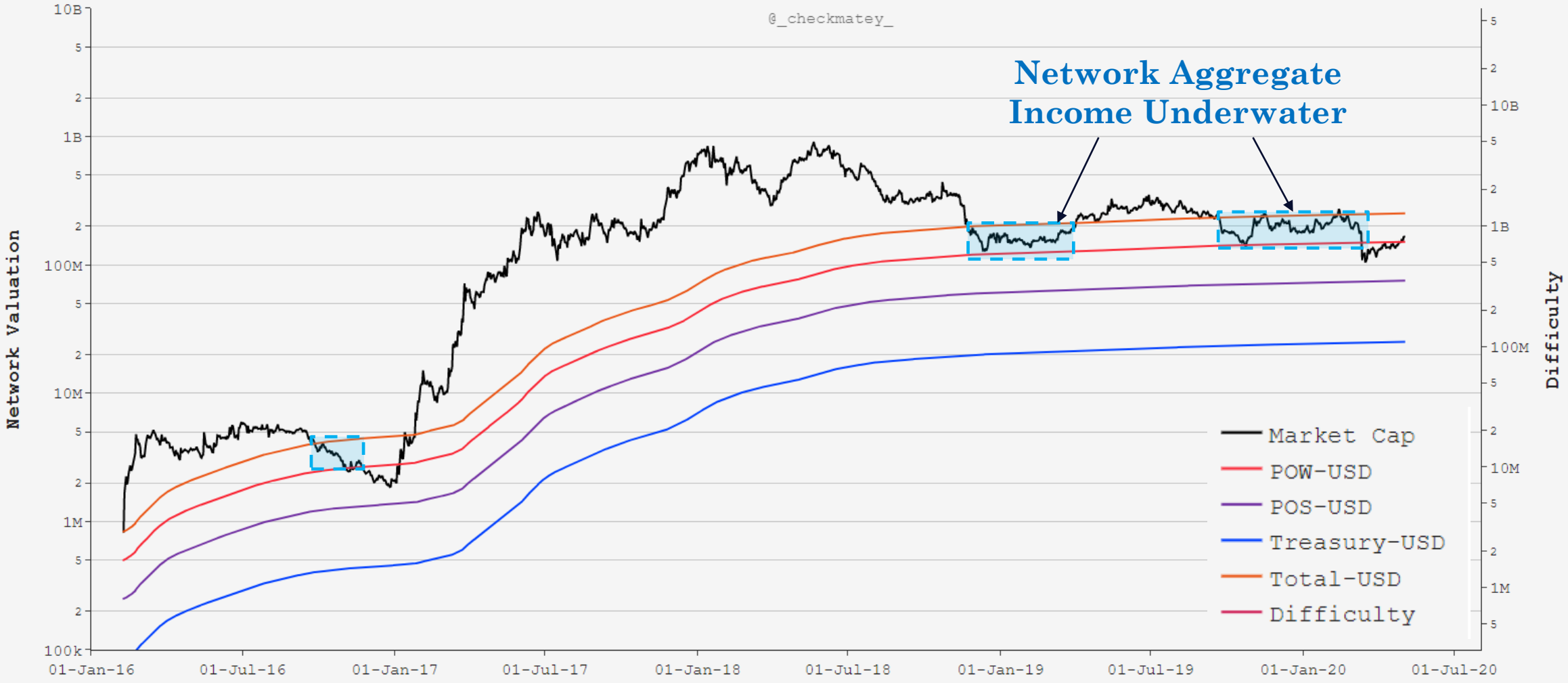

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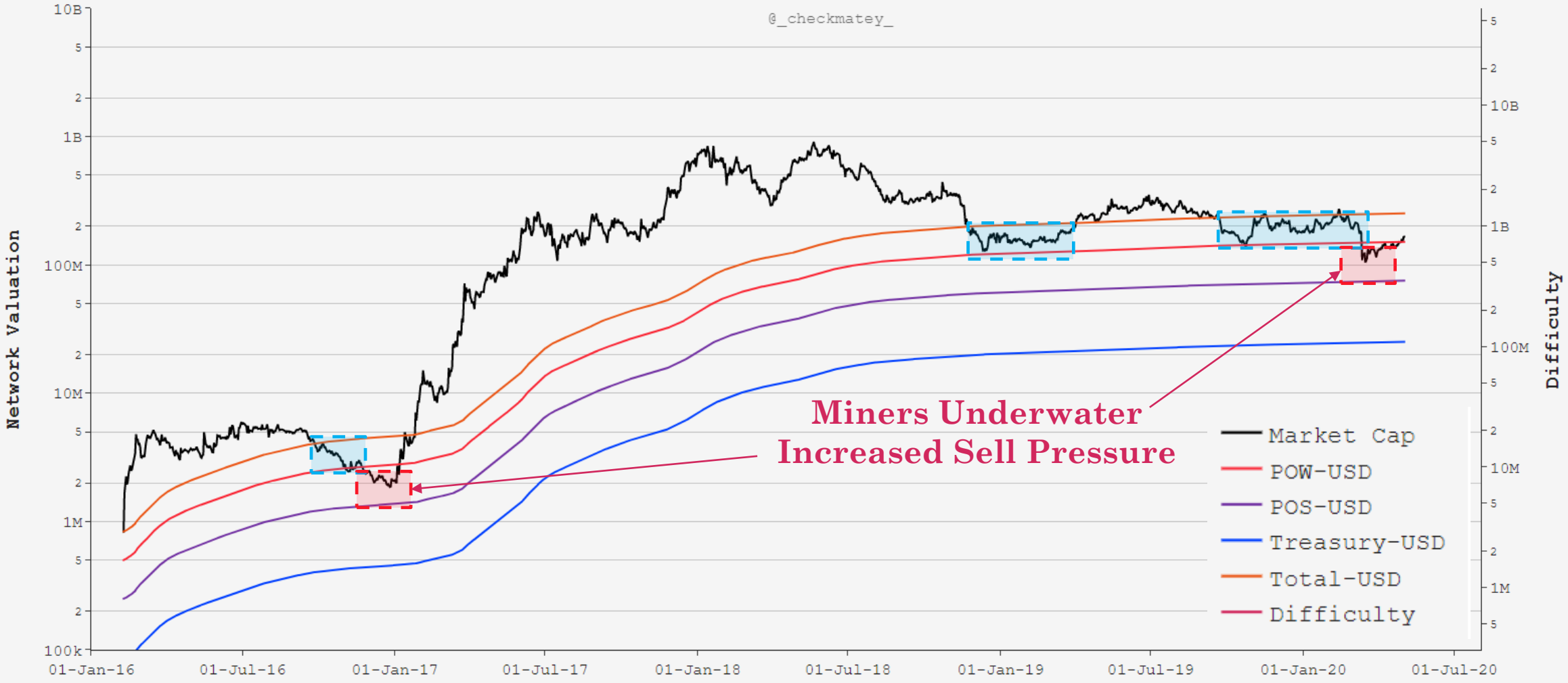

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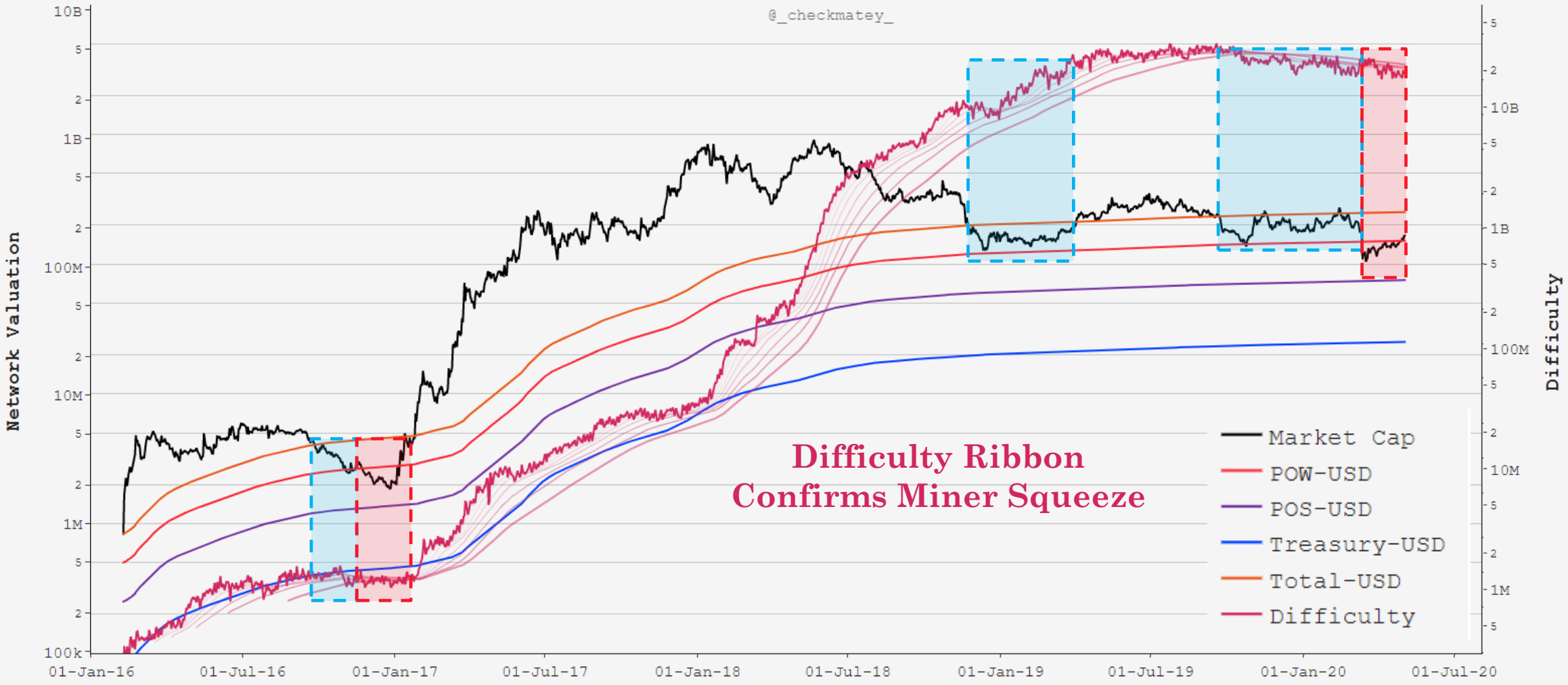

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Transaction Demand

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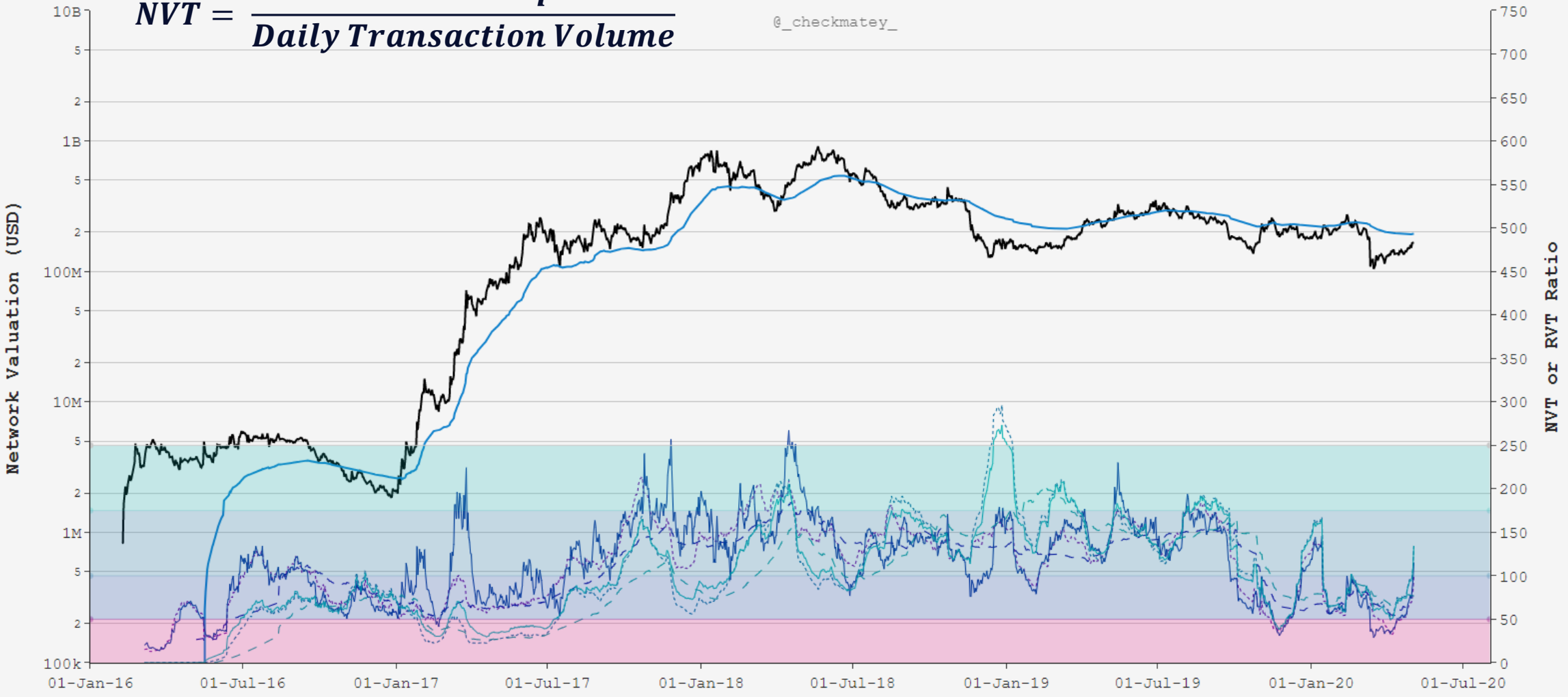
Decred NVT and RVT Ratio

$$NVT = \frac{Market\ Cap}{Daily\ Transaction\ Volume}$$



Psychology: Compare transactional demand for Block-space to network valuation

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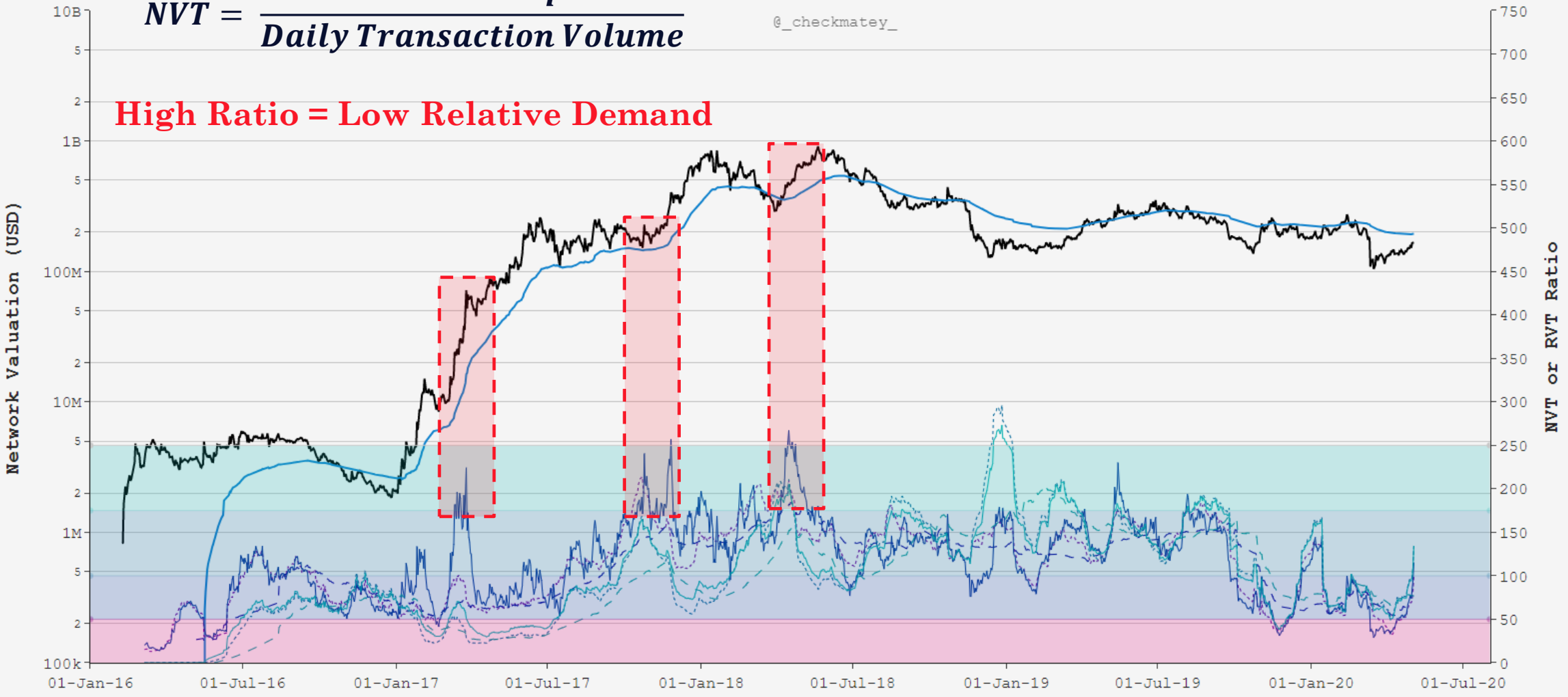

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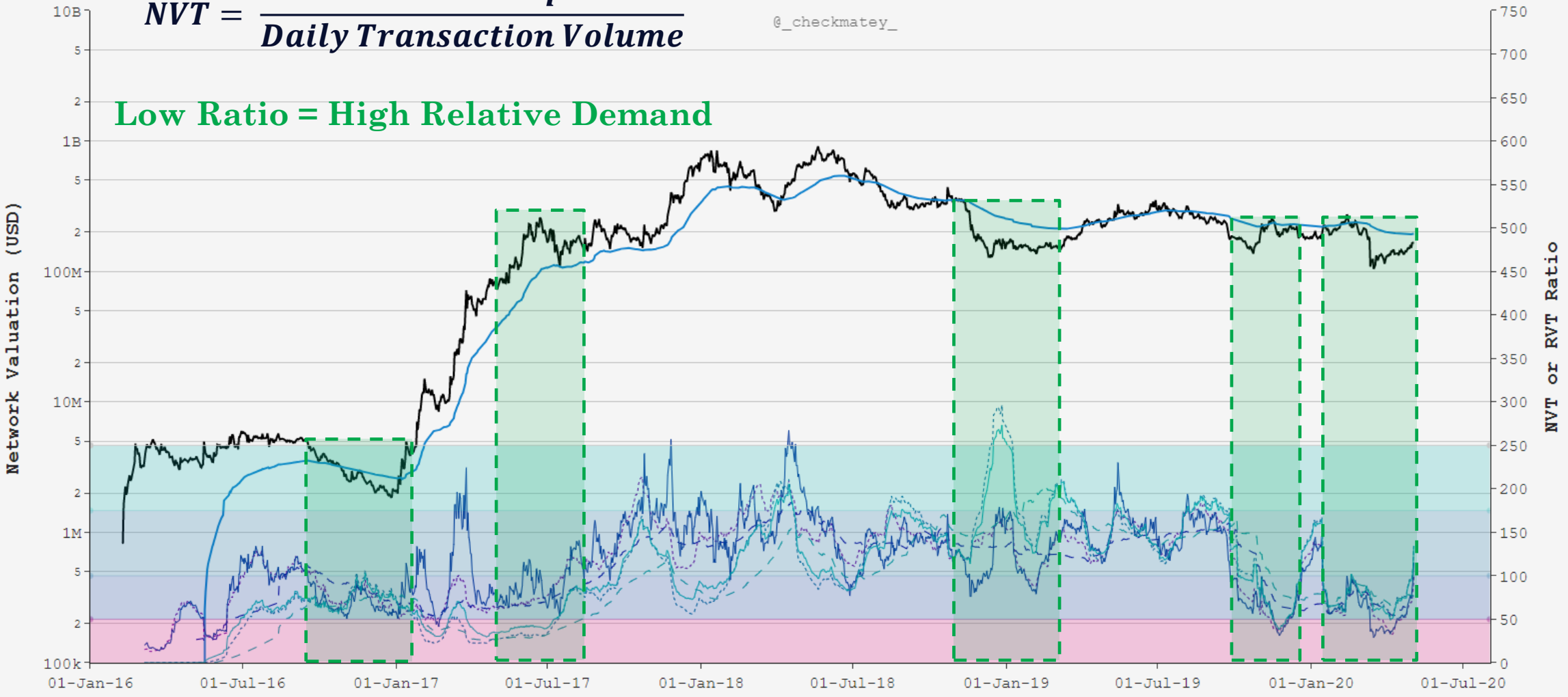

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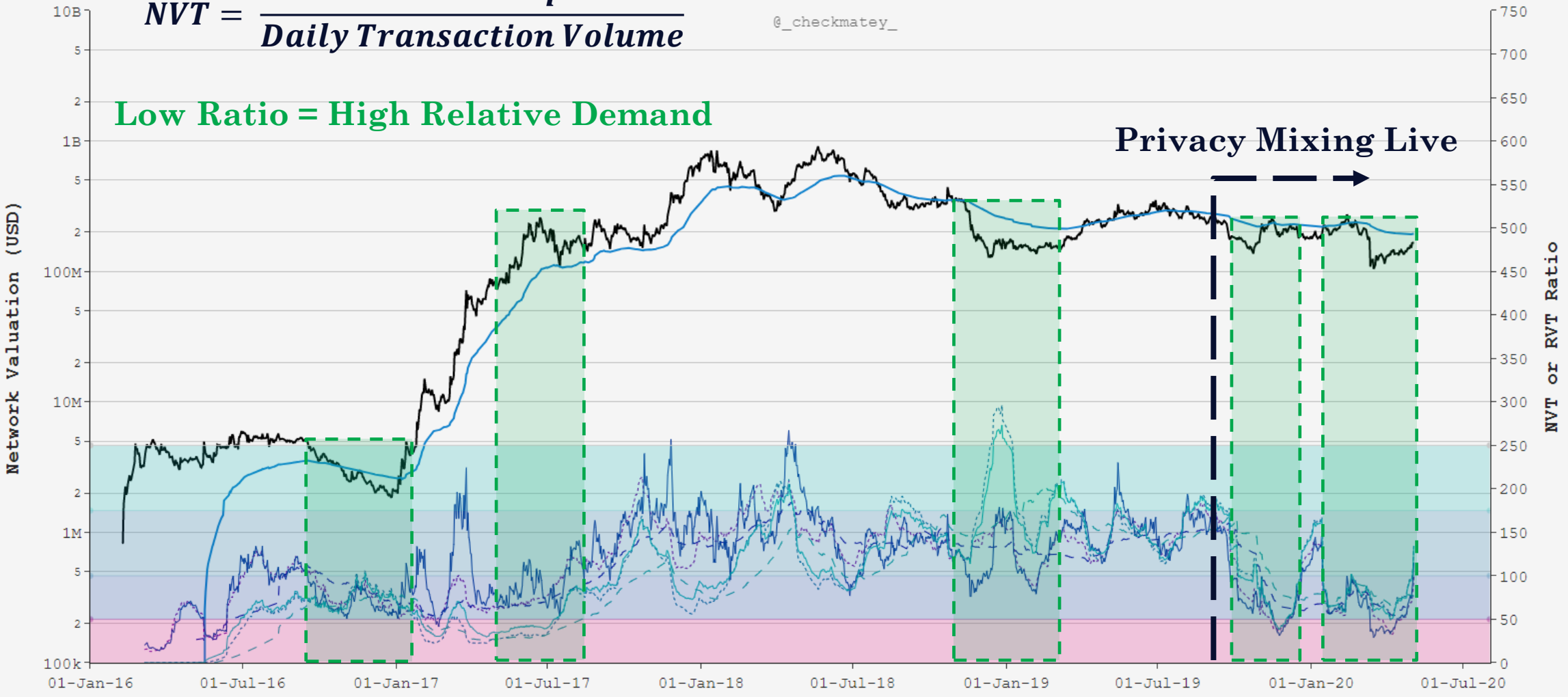

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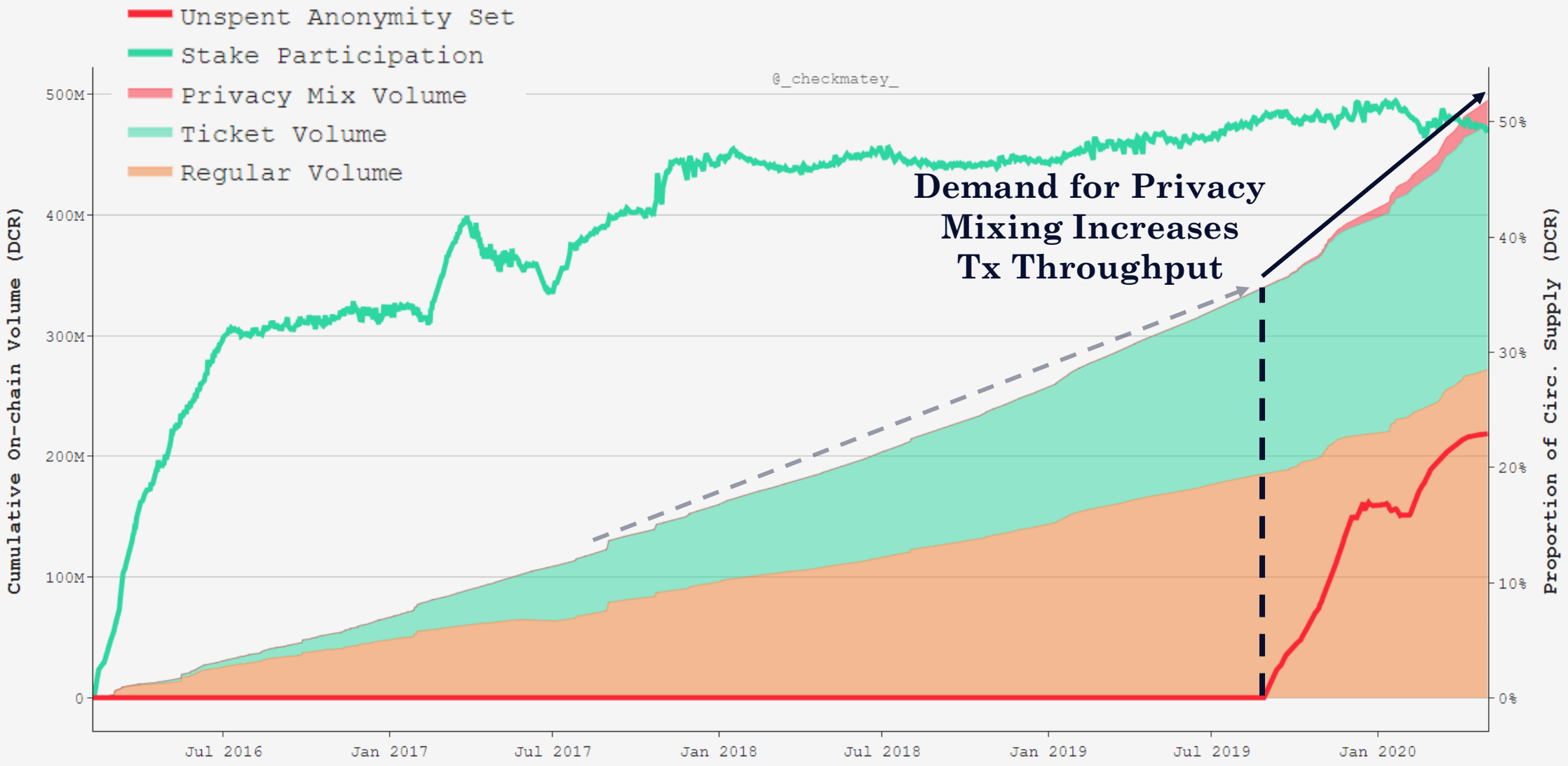
Decred Transaction Volumes



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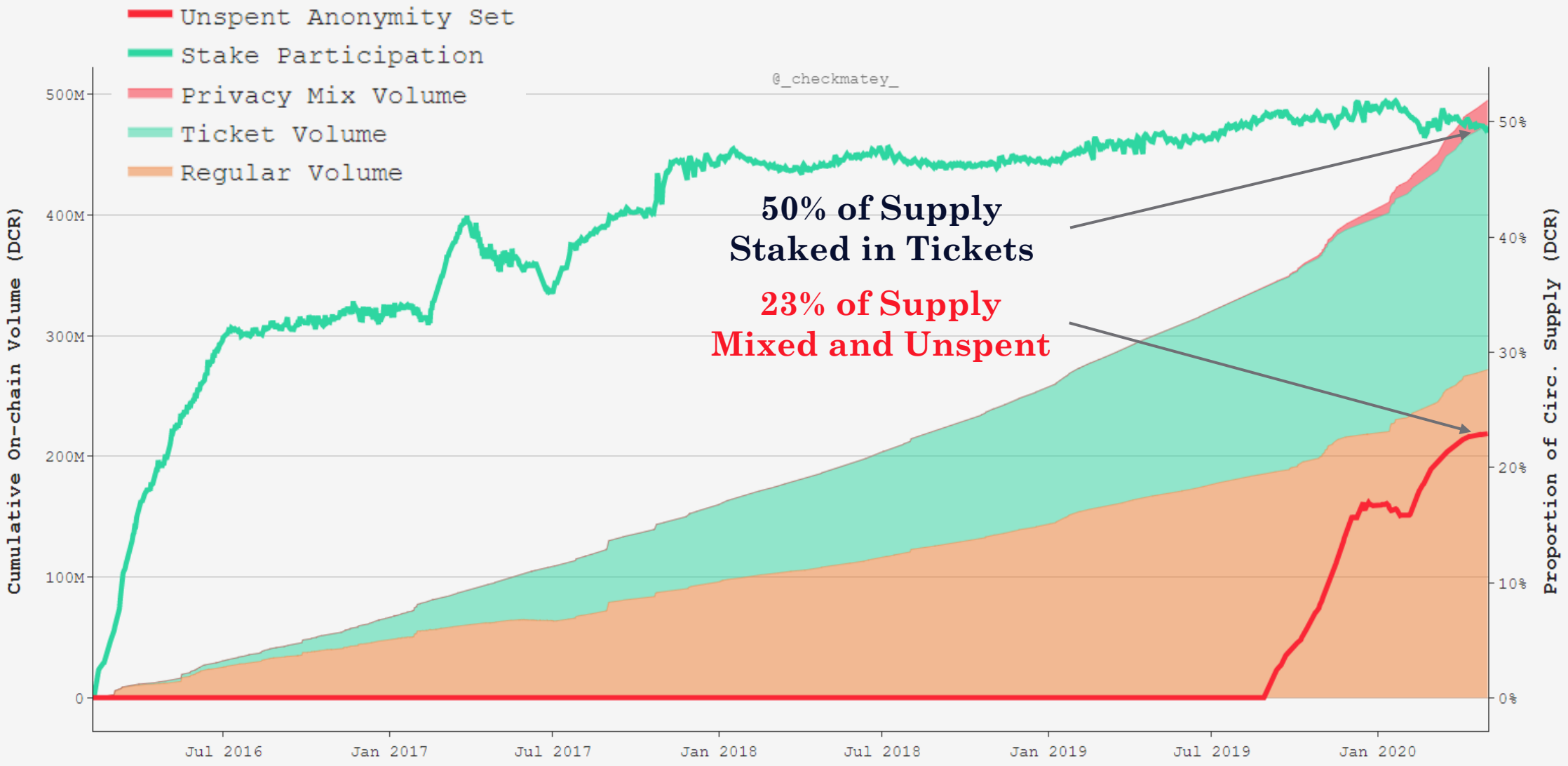

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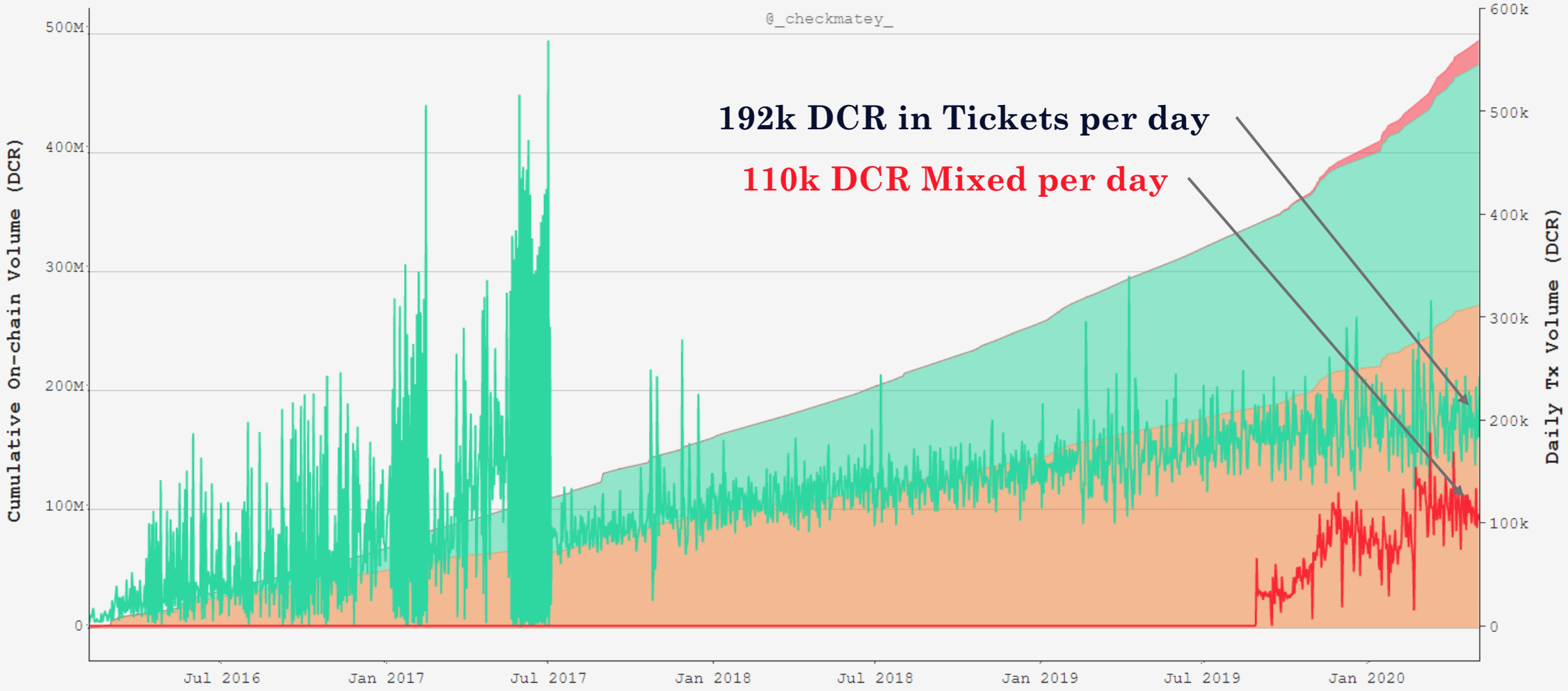

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Summary

The Decred blockchain has a unique blend of:

- **Machine Consensus** in Proof-of-Work
- **Human Consensus** in Proof-of-Stake

Holding DCR and participation in governance via tickets is a very high conviction signal of Network Sentiment.

Cost Basis models provides insight into the economic stress or euphoria for various stakeholder and participants.

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